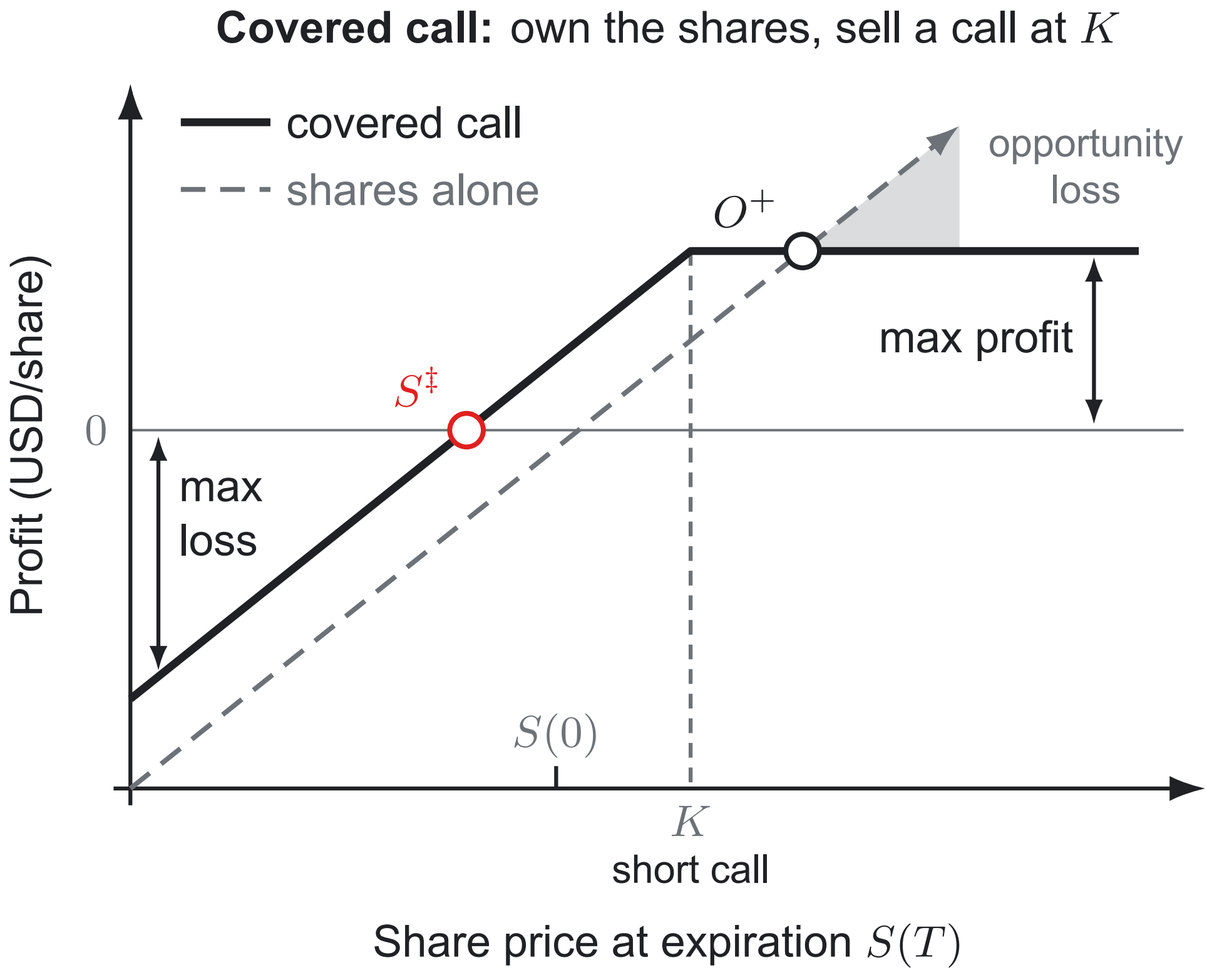
Covered call: own the shares, sell a call at K
covered call
shares alone
opportunity loss
O^+
max profit
$S^\ddagger$
0
max loss
$S(0)$
K
short call
Profit (USD/share)
Share price at expiration $S(T)$